

Week ending: 19th July 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **182-day** T-bill was oversubscribed recording **113.25%**, while the **91-day** and **364-day** T-bills were undersubscribed recording **66.83%** and **52.70%** respectively. The CBK accepted KES **2.67B**, **11.29B** and **5.22B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer, accepting a total of **19.18B.**

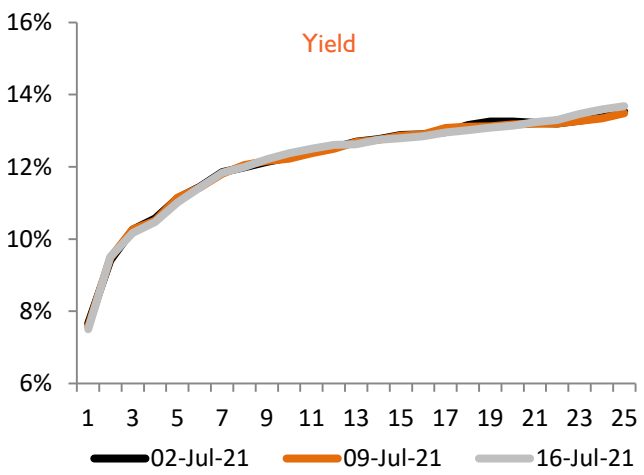
The Central Bank of Kenya re-opened two fixed bonds **FXD1/2012/15-(6.2 years)** and **FXD1/2018/15-(11.9yrs),** and opened a new fixed bond **FXD1/2021/25-(24.9 years)** from **28/06/2021** to **13/07/2021,** in a bid to raise KES **60Bn.** The bonds were oversubscribed with CBK accepting a total of **KES 79.94Bn** of the total **KES 116.92Bn** bids received. The coupon rates for the bonds were **11.00%**, **12.650%** and **13.924%** for the **FXD1/2012/15**, **FXD1/2018/15** and **FXD1/2021/25** respectively.

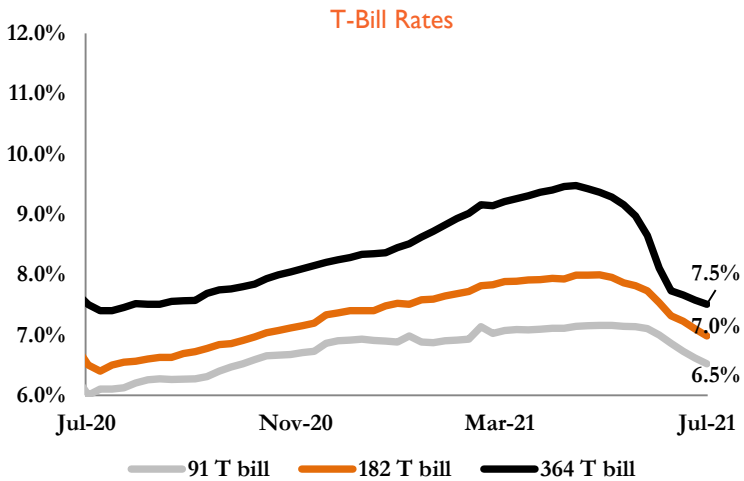
Key Indicators

	Current	Previous	% Change
91- Day	6.52%	6.61%	-0.09%
182-Day	6.98%	7.10%	-0.12%
364-Day	7.51%	7.58%	-0.07%
Interbank Rate	3.76%	4.37%	-13.88%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (June)	6.32%	5.87%
Private sector credit growth (March)	7.70%	9.70%
Money Supply (March)	10.10%	12.40%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.22%** to trade at **108.19.** The CBK's usable forex reserves currently stands at **USD 9,621 million** (**5.87** months of import cover) as at July 15th, a **0.32%** increase from **USD 9,590 million** (**5.86** months of import cover) as at July 8th.

Inflation

In June, Headline inflation increased to **6.32%** from **5.87%** in May. The CPI increased by **0.11%** from **114.98** in May to **115.11** in June. Meanwhile, food and beverage index increased by **0.35%** due to the increase in prices of select food items. Headline inflation is expected to increase on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to increase in global economic activity that has exerted upward pressure on global oil demand.

GDP growth

Growth receded to **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. Economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%**, **4.7%** and **9.9%** growth respectively.

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